So, we should pay the minimum number of premiums towards endowment plan so that we get our money back on maturity and then buy a term plan going ahead. The premium of an endowment plan is much more than a term plan for the same sum insured. So we will buy a term plan, which will be available for a much lower premium. The rest amount can be invested as per our growth plan. This way we get the best of both worlds, adequate sum insured from the insurance component and better returns from the investment component.

So, this is how someone with an ongoing endowment plan can switch to a term plan. Under all circumstances, people should keep their investments and insurances separate. If we merge them, we get lower protection on the insurance end and lower return on the investment component.

We will make sure that we are neither over-insured nor under-insured and have health insurance, life insurance, accident cover, property insurance and all other forms of insurance required in adequate amount. We will make it a point to never cut on the sum-insured to save some money in premiums. When the risk strikes, these prove to be very costly.